



How do you think this acquisition will impact the revenue growth for Cyient DLM in FY25?

The volatile nature of our industry prevents us from providing a yearly outlook, as a single deal can significantly alter projections. However, we are confident about achieving a 30% CAGR over a three- to five-year period.

Strong industry tailwinds, particularly the emphasis on manufacturing in India, underpin this confidence.

Inorganic growth supports this outlook, though it was not the primary driver of the Altek acquisition. The acquisition was driven by the capabilities it brings, access to new customers, diversification into industrial and medical sectors and ITAR certifications. With Cyient DLM's legacy, we are seeing a lot of traction in aerospace and defence. The company we acquired generates 90% of its revenue from industrial and medical sectors, which fits well with our diversification strategy. These were the primary considerations and growth is more a sweetener on top of the other strategic considerations.

How does acquiring companies outside of India help in the push towards manufacturing in India?

There are two distinct considerations—a push towards manufacturing in India to cater to the domestic market and for exports. We are leveraging the benefits available in these areas.

The acquisition serves a different purpose: it aims to serve global customers who require proximity. Proximity to customers often makes a significant difference in meeting their requirements. For instance, certain needs, such as ITAR-related projects, cannot be fulfilled from India.

In this sense, the approaches are complementary rather than

mutually exclusive. We can effectively operate both outside of India and within India.

Cyient Limited recently divested a significant stake in Cyient DLM. How does this impact mergers and acquisitions across different industry segments?

Cyient Limited has its own strategy, with a clear focus on industries with growth potential. For example, the semiconductor industry is experiencing a global push for manufacturing and design, including in India.

The stake sale was one of several options to fund such initiatives. Cyient Ltd continues to hold a majority stake in DLM, and the divestment was part of a strategy to fund strategic initiatives, including acquisitions.

Cyient acquired Belgium-based AnSem for analogue ASIC design capabilities and inaugurated a centre of excellence (CoE) for Allegro Microsystems. It also invested in Azimuth AI, a fabless ASIC startup developing energy and power solutions. These efforts reflect a targeted approach to carve out the semiconductor business as a standalone entity.

Each segment of engineering services has unique nuances. Focusing on individual industries with tailored operating and capital structures is often more effective. This rationale underpins the decision to create a separate entity for the semiconductor business.

What are the criteria that Cyient DLM uses to evaluate potential M&A targets, particularly in the automotive and semiconductor space?

I think our M&A strategy is increasingly shifting towards product-focused opportunities. Cyient DLM's strength lies in its build-to-spec capabilities, where we contribute to both design and manufacturing. Almost 25% of our sales pipeline today

comprises build-to-spec models and opportunities. Investing in design not only enhances customer ownership and stickiness but also offers greater flexibility in the supply chain, resulting in higher margins.

Our M&A strategy aligns with this approach. We are looking for companies that provide complementary capabilities to strengthen this journey. Adding capacity or merely gaining new clients through inorganic means is not our primary focus. We are not facing capacity constraints and are currently operating at 55-60% capacity. We can generate an additional \$100 million in revenue without requiring significant capacity expansion. Acquisitions that address gaps in our design capabilities or bring expertise advancing our strategic goal of transforming from a pure-play build-to-print manufacturing company into a product-focused organisation interest us.

Why does Cyient DLM emphasise design-led-manufacturing, unlike other EMS manufacturers in India?

We are accelerating our build-to-spec offerings. The more we engage in this industry, the clearer it becomes that differentiation is crucial. Without build-to-spec, companies risk becoming commoditised, which might lead to growth but without margin expansion or better returns for shareholders. The only way to command higher margins and achieve a leadership position is through greater ownership of the product.

For us, this means aggressively pursuing models with higher design elements. Eventually, the next step would be developing our own designs and creating products that solve specific customer problems.

This evolution is key for Cyient DLM going forward. We have built a robust team and invested ahead of time in capacity and leadership. Now, it is about executing on